



INDEPENDENT AUDITOR'S REPORT

To,

The Members of Paynext Private Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of **Paynext Private Limited** ("the Company"), which comprise the balance sheet as at 31st March 2022, and the statement of Profit and Loss, and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as 'the Financial Statements')

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act read with the Companies (India Accounting Standards) Rule, 2015, as amended (Ind-As) and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2022; the profit and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the Financial Statements.



Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in the Board's Report including Annexures to Board's Report, Business Responsibility Report but does not include the Financial Statements and our auditor's report thereon.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these Financial Statements that give a true and fair view of the financial position, financial performance, and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the



financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors is responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.



- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledge user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in planning the scope of our audit work and in evaluating the results of or works and to evaluate the effect of the any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



Report on Other Legal and Regulatory Requirements

- 1 As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, is not applicable to the company. Since it satisfies all the conditions in the above order, we are not reporting the matters specified in the paragraphs 3 and 4 of the order.
- 2 As required by Section 143(3) of the Act, we report that:
 - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - (c) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account
 - (d) In our opinion, the aforesaid Financial Statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
 - (e) On the basis of the written representations received from the directors as on 31st March, 2022 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2022 from being appointed as a director in terms of Section 164 (2) of the Act.
 - (f) Since the Company's turnover as per last audited financial statements is less than Rs.50 Crores and its borrowings from banks and financial institutions at any time during the year is less than Rs.25 Crores, the Company is exempted from getting an audit opinion with respect to the adequacy of the internal financial controls over financial reporting of the company and the operating effectiveness of such controls vide notification dated June 13, 2017; and



(g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

- i. The Company did not have any pending litigation on its financial position in its financial statements.
- ii. The Company did not have any long term contracts including derivative contracts for which there were any material foreseeable losses.
- iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.



Nagpur

Date: 09/09/2022

**FOR AND ON BEHELF OF
R D S & ASSOCIATES
CHARTERED ACCOUNTANTS**
Firm Registration No.138978W

A handwritten signature in blue ink, appearing to read "R. D. Sonule", written over a horizontal line.

**CA. R. D. SONULE
PROPRIETOR**

M. NO. : 156133

UDIN: 22156133BCKIYZ1306



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(g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

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Nagpur

Date: 09/09/2022

**FOR AND ON BEHELF OF
R D S & ASSOCIATES
CHARTERED ACCOUNTANTS**
Firm Registration No.138978W

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**CA. R. D. SONULE
PROPRIETOR**

M. NO. : 156133

UDIN: 22156133BCKIYZ1306

PAYNEXT PRIVATE LIMITED
BALANCE SHEET AS ON 31ST MARCH 2022

PARTICULARS		Note No.	31-03-2022	31-03-2021
(Amt.in '000)				
I.	<u>EQUITY AND LIABILITIES :</u>			
1	<u>SHAREHOLDERS' FUNDS</u>			
	Share Capital	2.1	100	100
	Reserves and surplus	2.2	6,228	2,561
	Sub-total			
2	Share Application Money			
	Pending Allotement	2.3	300	300
3	<u>NON-CURRENT LIABILITIES</u>			
	Long-Term Liabilities	2.4	0	0
	Other Long-Term Liabilities	2.5	42,348	33,824
4	<u>CURRENT LIABILITIES</u>			
	Short-term borrowings	2.6	0	0
	Trade Payable	2.7	47,629	24,047
	Other Current Liabilities	2.8	0	0
	Short-term Provisions	2.9	14,544	8,588
	Sub-total		62,173	32,635
	TOTAL EQUITIES AND LIABILITIES		1,11,149	69,420
II.	<u>ASSETS:</u>			
1	<u>NON-CURRENT ASSETS</u>			
	Fixed assets			
	Intangible Assets			
	Capital work in progress	2.10	96,775	59,783
2	<u>CURRENT ASSETS</u>			
	Current Investments	2.11	0	0
	Inventories	2.12	1,608	0
	Trade Receivables	2.13	10,311	5,877
	Cash and cash equivalents	2.14	61	920
	Short-term Loans and Advances	2.15	0	1,951
	Other Current Assets	2.16	2,394	889
	Sub-total		14,374	9,637
	TOTAL ASSETS		1,11,149	69,420

Notes on financial statements (Refer note-2)
FOR AND ON BEHALF OF PAYNEXT PRIVATE LIMITED

DIRECTOR
Avinash Shende
DIN : 02179381

DIRECTOR
Sachin Pande
DIN : 02181154

AS PER OUR REPORT OF EVEN DATE ATTACHED.

Nagpur
Dated : 09/09/2022



FOR AND ON BEHALF OF
R D S & ASSOCIATES
Chartered Accountants
Firm Registration No. 138978W

CA. R. D. SONULE
PROPRIETOR
M.NO.156133
UDIN:22156133BCKIYZ1306

PAYNEXT PRIVATE LIMITED

STATEMENT OF PROFIT AND LOSS ACCOUNT FOR THE PERIOD 01/04/2021 TO 31/03/2022

(Amt.in '000)

PARTICULARS	Note No.	31-03-2022	31-03-2021
I. Revenue from operations	2.17	1,21,734	99,549
II. Other income	2.18	0	359
III. Total Revenue (I + II)		1,21,734	99,908
IV. LESS : EXPENDITURE			
Purchases of Materials		1,09,130	90,952
Changes in inventories of stock-in-trade	2.19	-1,608	0
Employee benefit expenses	2.20	3,818	1,215
Finance costs	2.21	11	5
Depreciation and amortization expenses	2.10	0	0
Other Expenses	2.22	5,426	4,591
Total Expenses		1,16,777	96,763
V. Profit before exceptional and extraordinary items and tax (III - IV)		4,957	3,145
VI. Exceptional items		0	0
VII. Profit before extraordinary items and tax (V - VI)		4,957	3,145
VIII. Extraordinary items		0	0
IX. Profit before tax (VII - VIII)		4,957	3,145
X. Tax expense : Current tax		1,290	818
XI. Profit (Loss) for the period from continuing operations (IX - X)		3,667	2,327
XII. Profit / (loss) from discontinuing operations		0	0
XIII. Tax expense of discontinuing item		0	0
XIV. Profit / (loss) from Discontinuing operations (after tax) (XII - XIII)		0	0
XV. Profit / (loss) for the period (XI + XIV)		3,667	2,327
XVI. Earning per equity share :	2.23	367	233

FOR AND ON BEHALF OF PAYNEXT PRIVATE LIMITED


DIRECTOR
Avinash Shende
DIN : 02179381


DIRECTOR
Sachin Pande
DIN : 02181154

AS PER OUR REPORT OF EVEN DATE ATTACHED.

Nagpur
Dated : 09/09/2022



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CA. R. D. SONULE
PROPRIETOR
M.NO.156133
UDIN:22156133BCKIYZ1306

PAYNEXT PRIVATE LIMITED

CASH FLOW STATEMENT

(Amt.in '000)

S.No.	Particulars	Note No.	31-03-2022	31-03-2021
1	CASH FLOW FROM OPERATING ACTIVITIES:			
	Net Profit before tax as per statement of Profit and Loss			
	Add/(less):		4,957	3,145
	Depreciation, amortisation and impairment	2.10	0	0
	Interest Income	2.18	0	0
	Dividend Income	2.18	0	0
2	Operating profit before changes in working capital		4,957	3,145
	(Increase)/Decrease in trade receivables	2.13	-4,434	-4,483
	(Increase)/Decrease in Inventories	2.12	-1,608	0
	(Increase)/Decrease in loans and advances	2.15	1,951	-1,381
	(Increase)/Decrease in Other current Assets	2.16	-1,505	-355
	(Increase)/Decrease in other non-current Assets	2.11	0	0
	Increase/(Decrease) in Trade payables	2.7	23,582	23,893
	Increase/(Decrease) in provisions	2.9	5,956	4,313
	Increase/ (Decrease) in other current Liabilities	2.8	0	0
	Increase/(Decrease) in long term liabilities	2.4	0	0
	Increase/(Decrease) in other long term liabilities	2.5	8,524	6,780
	Increase/(Decrease) in Short term borrowings	2.6	0	0
3	Cash Generated from operations		37,423	31,912
	Taxes paid		1,290	818
4	Net cash from operating activities (A)		36,133	31,094
5	Cash flow from investing activities			
	Purchase of tangible & Intangible fixed assets	2.10	-36,992	-30,177
	Purchase of Long Term Investments		0	0
	sales of tangible fixed assets	2.10	0	0
	Sales of long-term investments		0	0
	interest and dividend received	2.18	0	0
6	Net cash from investing activities (B)		-36,992	-30,177
7	Cash flows from financing activities			
	Proceeds from Share application money	2.3	0	0
	Dividend paid		0	0
8	Net cash from financing activities (C)		0	0
9	Net increase /Decrease in cash and cash equivalents			
	(A+ B+C)		-859	917
	opening balance of cash and cash equivalents		920	3
	Closing Balance of cash and cash equivalents		61	920

FOR AND ON BEHALF OF PAYNEXT PRIVATE LIMITED


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DIN : 02179381


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PAYNEXT PRIVATE LIMITED

Note 2: Notes on accounts as per revised schedule VI

SHARE HOLDERS FUND

The Company has only one class of shares, referred to as equity shares having a par value of Rs.10/- per share. Each holder of equity shares is entitled to one vote per share. The right of the shareholders is governed by the Articles and Association and the Companies Act.

2.1 SHARE CAPITAL

(Amt.in '000)				
A.	PARTICULARS	Number	31-03-2022	31-03-2021
	AUTHORISED CAPITAL :			
	50,000 Equity Shares of Rs. 10/- each	50,000	5,00,000	5,00,000
	ISSUED, SUBSCRIBED & PAID UP CAPITAL :			
	10000 Equity Shares of Rs. 10/- each fully paid	10,000	100	100
			100	100

B Details of Share Holding of more than 5% shares are set out below

Particulars	31-03-2022		31-03-2021	
Name of shareholder	No.of share held	% of share holding	No.of share held	% of share holding
1. Avinash Shende	5,000	50.00%	5,000	50.00%
2. Sachin Pande	5,000	50.00%	5,000	50.00%

2.2 RESERVES AND SURPLUS

Particulars	31-03-2022	31-03-2021
<u>Surplus in the statement of profit and loss</u>		
Opening Balance	2,561	234
Less: Bonus shares issued	0	0
Add: Profit for the year	3,667	2,327
Less: Transfer to reserve,if any	0	0
Closing Balance	6,228	2,561
Total	6,228	2,561



PAYNEXT PRIVATE LIMITED

2.3 SHARE APPLICATION MONEY PENDING ALLOTMENT

(Amt.in '000)

PARTICULARS	31-03-2022	31-03-2021
1. Avinash Shende	150	150
2. Sachin Pande	150	150
Total	300	300

2.4 LONG TERM LIABILITIES

Particulars	31-03-2022	31-03-2021
<u>Long-Term Borrowings :</u>	0	0
Total	0	0

2.5 OTHER LONG TERM LIABILITIES:

Particulars	31-03-2022	31-03-2021
<u>Unsecured Loans From</u>		
Virtual Galaxy Infotech Pvt. Ltd.	22348	13824
Avinash Shende	10000	10000
Sachin Pande	10000	10000
		0
Total	42,348	33,824

2.6 SHORT TERM BORROWINGS:

Particulars	31-03-2022	31-03-2021
Total	0	0

2.7 TRADE PAYABLES:

Particulars	31-03-2022	31-03-2021
Sundry Creditors	47,629	24,047
Total	47,629	24,047



PAYNEXT PRIVATE LIMITED

2.8 OTHER CURRENT LIABILITIES:

Particulars	31-03-2022	31-03-2021
Advance from Customer	0	0
Total	0	0

2.9 SHORT TERM PROVISIONS:

Particulars	31-03-2022	31-03-2021
Provision for Taxation	1,290	818
P F Payable	3,223	425
Profession Tax	132	76
Salary Payable	2,708	2,037
TDS Payable	6,933	4,872
GST Payable	138	270
Professional Charges Payable	120	90
Total	14,544	8,588



2.10
FIXED ASSETS

PAYNEXT PRIVATE LIMITED

GROSS BLOCK											NET BLOCK			
Particulars	Cost As on 1/4/2021	Additions before 30.09.2021	Additions after 30.09.2021	Deductions during the yr.	Total	Dep. Amount	During previous yr.	During current yr.	Total Depreciation	W.D.V. AS ON 31-03-2021	W.D.V. AS ON 31-03-2022			
Switch Development (Capital work in progress)	59,783	15,830	21,162	0	96,775	0	0	0	0	59,783	96,775			
Total Rs.	59,783	15,830	21,162	0	96,775	0	0	0	0	59,783	96,775			

Note: Management is developing Software called Switch (Financial Transactions Switch Software), all development related expenses and cost have been capitalized during the period.



PAYNEXT PRIVATE LIMITED

2.11 CURRENT INVESTMENTS :

(Amt.in '000)

Particulars	31-03-2022	31-03-2021
Total	0	0

2.12 INVENTORIES :

Particulars	31-03-2022	31-03-2021
stock-in-trade	1,608	0
Total	1,608	0

2.13 TRADE RECEIVABLES:

Particulars	31-03-2022	31-03-2021
Trade Receivables outstanding for a period exceeding six months from the date they were due for payment		
Secured-considered good	580	580
Unsecured-considered good		
Other trade receivables		
Unsecured-considered good	9,731	5,297
Total	10,311	5,877

2.14 CASH AND CASH EQUIVALENTS:

Particulars	31-03-2022	31-03-2021
Cash in Hand	27	71
<u>Cash with Banks</u>		
Kotak Mahindra Bank	9	824
RBL Bank	25	25
sub-total	61	920
Total	61	920



PAYNEXT PRIVATE LIMITED

2.15 SHORT TERM LOANS AND ADVANCES:

(Amt.in '000)

Particulars	31-03-2022	31-03-2021
Loan & Advances	0	1,951
Total	0	1,951

2.16 OTHER CURRENT ASSETS:

Particulars	31-03-2022	31-03-2021
GST Setoff	0	417
TDS	1,764	442
Security Deposit	600	0
EMD	30	30
sub-total	2,394	889
Preliminary Expenses (to the extent not w/off)	0	0
Less: written off for the year	0	0
sub-total	0	0
Total	2,394	889



PAYNEXT PRIVATE LIMITED

2.17 REVENUE FROM OPERATIONS:

Particulars	(Amt.in '000)	
	31-03-2022	31-03-2021
Sales / Others	1,21,734	99,549
Total	1,21,734	99,549

2.18 OTHER INCOME :

Particulars	31-03-2022	31-03-2021
Other Income	0	359
Total	0	359

2.19 CHANGES IN INVENTORIES OF STOCK IN TRADE:

Particulars	31-03-2022	31-03-2021
Closing Stock at the end of the year	1,608	0
Less : Opening Stock at the beginning of the year	0	0
Total	-1,608	0

2.20 EMPLOYEE BENEFITS EXPENSES :

Particulars	31-03-2022	31-03-2021
Salaries,allowances and other benefits	2,117	0
Contribution to provident fund and other Fund	1,653	1,173
Staff welfare expenses	48	42
Total	3,818	1,215

2.21 FINANCE COSTS:

Particulars	31-03-2022	31-03-2021
Interest and Bank Commission & Insurance	11	5
Total	11	5



PAYNEXT PRIVATE LIMITED

2.22 OTHER EXPENSES:

Particulars	(Amt.in '000)	
	31-03-2022	31-03-2021
Consultancy Charges	662	176
Rent	1,977	2,015
Courier Charges	5	18
Audit Fees	30	30
Office Expenses	182	467
Miscellaneous Expenses	26	71
Certification fees	30	0
Repairs & Maintenance	33	37
Printing & Stationery	28	24
Registration Charges	50	50
Legal Expenses	26	32
Businesss Promotion expenses	0	108
Connectivity Charges	23	201
Electricity Charges	96	87
Tour & Travelling Expenses	141	225
AMC Charges	159	0
Discount	558	0
Commission & Brokerage	308	0
Insurance Charges	1,092	1,050
Total	5,426	4,591

2.23 EARNING PER SHARE:

Particulars	31-03-2022	31-03-2021
Net profit after tax	3667	2327
Number of Equity Share issued	10	10
Basic earnings per share of Rs.10/- each	367	233

2.24 AMOUNT IN THE FINANCIAL STATEMENTS

Amounts in the financial statements are rounded off to rupees in thousands.



PAYNEXT PRIVATE LIMITED

2.25 DISCLOSURE UNDER MICRO, SMALL AND MEDIUM ENTERPRISES DEVELOPMENT ACT, 2006

The company has not received any information from its vendors regarding their status under Micro, Small and Medium Enterprises Development Act, 2006. Nonetheless, there are no amounts for a period beyond the stipulated period as specified under Micro, Small and Medium Enterprises Act, 2006.

2.26 PAYMENT TO AUDITORS

Particulars	31-03-2022	31-03-2021
Statutory Audit	30	30
Total	30	30

2.27 CONFIRMATION OF BALANCES

The Company has not generally called for confirmation from trade payables, trade receivables, unsecured loans, loans and advances, deposit from parties/deposit with the parties etc.

Management has however, confirmed that these accounts are scrutinised and that these are current and are recoverable and payables.

2.28 RELATED PARTY TRANSACTION

Balance Amounts Outstanding:

Name	Nature of Relation and Transaction	Amount as on 31.3.2022
M/s. Virtual Galaxy Infotech Pvt. Ltd.	Both Director are Director in Virtual Galaxy Infotech Pvt. Ltd. Unsecured Loan Sundry Debtors	22,348 6,022
Mr. Avinash Shende	Director Unsecured Loan	10,000
Mr. Sachin Pande	Director Unsecured Loan	10,000

2.29 Previous year's figures

Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure under Schedule III of the Companies Act 2013.



PAYNEXT PRIVATE LIMITED

BALANCE SHEET ABSTRACT AND THE COMPANY'S GENERAL BUSINESS PROFILE		
I	Registration Details Registration/CIN State code Balance sheet date	 320131 11 31-03-2022
II	Capital raised during the year Public/fresh Right issue Bonus issue Private placement	 NIL NIL NIL NIL
III	Position of mobilisation and deployment of funds Equities and liabilities Assets Sources of funds Share capital Reserves and surplus Long term liabilities Trade payables Other current liabilities short term provisions Application of funds Net fixed assets Long term loans and advances Current investments Inventories Trade receivables Cash and cash equivalents Short term loans and advances	 1,11,149 1,11,149 100 6,228 0 47,629 0 14,544 0 0 0 1,608 10,311 61 0
IV	Performance of the Company Turnover and other income Total expenditure Profit before tax Net earning per share	 1,21,734 1,16,777 4,957 367
V	Generic names of principle products/service,of the Company Product description :: I T Software and Switch Development and Related Services	

For and on behalf of PAYNEXT PRIVATE LIMITED


DIRECTOR
Avinash Shende
DIN : 02179381


DIRECTOR
Sachin Pande
DIN : 02181154

AS PER OUR REPORT OF EVEN DATE ATTACHED



Nagpur
Dated: 09/09/2022

For and on behalf of
R D S & ASSOCIATES
Chartered accountants
FRN No.138978W


CA. R. D. SONULE
PROPRIETOR
M.NO.156133

PAYNEXT PRIVATE LIMITED

SIGNIFICANT ACCOUNTING POLICIES:

NOTE I: Accounting policies adopted by the Company

Basis of preparation of financial statements

These financial statements are prepared in accordance with Indian Generally Accepted Accounting Principles (GAAP) under the historical cost convention on accrual basis except for certain financial instrument which are measured at fair values. GAAP comprises mandatory accounting standards as prescribed under section 133 of the Companies Act 2013 (the Act) read with Rule 7 of the Companies (Accounts) Rules, 2014, the provisions of the Act(to extent notified). Accounting polices have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires change in the accounting policy hitherto in use.

Use of Estimates

The preparation of financial statements require estimates and assumptions to be made that affect the reported balances of assets as on the date of the financial statements and the reported amount of revenues and expenses during the reporting period. All asset and liabilities have been classified as current or non current as per the company's normal operating cycle and other criteria set out in Schedule III to the Companies Act, 2013. Accounting estimates could change from period to period. Actual results could differ from these estimates.

The following significant accounting policies are adopted in the preparation of these financial statements:

1. Revenue recognition

- (a) Sales are recognized when goods are supplied and are recorded net of discounts. Sales revenues are presented net of value added taxes in the statements of profit and loss.
- (b) Income from other receipts is recognized on its completion and on its acceptance by the customers.
- (c) Dividend income is accounted for in the year in which the right to receive the same is established.
- (d) Interest income is recognized using the time proportion method, based on rates implicit in the transaction.

2. Fixed Assets

Tangible assets shown under gross block are valued at cost of acquisition inclusive of inward freight, duties, taxes and other incidental expenses related to its acquisition. All such direct costs are capitalized when the tangible assets are ready for use.



PAYNEXT PRIVATE LIMITED

3. Depreciation and amortization

(a) Depreciation on tangible assets has been calculated in accordance with the Schedule II of the Companies Act, 2013 as under:

- (i) All assets on written down value basis.
- (ii) Management has not charged the depreciation on Software Development called Switch, since it is in developing stage.

4. Impairment of assets

An impairment loss if any is charged to the statement of profit and loss in the year in which an asset is identified as impaired.

5. Investments

Valued at cost, exclusive of dividend/interest reinvested thereon.

6. Inventories

Trading and other goods are valued at cost or net realizable value, whichever is lower. There is no inventory at the end of the financial year.

7. Taxes on Income

Current tax: Provision for current tax is made based on tax liability computed after considering tax allowances and exemptions.

8. Provisions and contingent liabilities

Based on the estimates of the management, provisions are determined of the outflow of economic benefits which are required to settle the obligation as at the reporting date. Where no realizable estimate can be made, disclosure is made as contingent liability. A disclosure for a contingent liability is also made when there is a possible obligation that may, but probably will not, require an outflow of the Company's resources.

9. Cash flow statement

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. Cash flows from operating, investing and financing activities of the Company are segregated, accordingly.

